Pricing, Billing and Launch

Credits and subscriptions - not a one-time sale. Every video we render costs real compute, storage and model calls, so the price has to renew with the cost. This document locks the credit model, the tiers, the billing rules, and the path from internal dogfood to a paid public launch.

> **The decision in one line:** Sell monthly plans denominated in render credits. 1 credit = 1 minute of finished 1080p video, charged only on a successful render. Launch to ourselves first, then to 10 invited creators, then public - in that order, with no step skipped.

What this document decides

Area	Decision
Model	Subscription + credit wallet + paid top-ups. No lifetime deal, no one-time licence at launch.
Anchor tier	Creator at Rs 2,499/month. It is the tier the homepage, ads and onboarding all point to.
Trial	7 days, 10 free credits, card not required. One trial per verified account.
Billing rails	Razorpay for India (UPI, cards, netbanking, mandates) as primary. Stripe as the later rail for international cards - not a launch blocker.
Assets	Licensed stock by default (Pexels / Pixabay). YouTube clip import stays opt-in only, behind a rights confirmation - see the licensing document.
First user	Us. Pixalified publishes real videos through the product for 2 weeks before any external creator is invited.

How pricing connects to the product

The 10-stage flow - topic, research, script, voice, voice cleanup, visual plan, generation into project, motion graphics, timeline edit, captions and sound, preview, render, publish pack - splits cleanly into two cost types. Stages before render are cheap and repeatable, so they are unlimited within fair use. Render, AI voice and publish-pack generation are expensive and metered, so they consume credits. The user should never feel metered while writing; they should feel metered only when we spend money on their behalf.

Stack behind the meter: Next.js frontend, FastAPI orchestrator, Redis / Celery render queue, faster-whisper, Remotion, ffmpeg, and R2 / S3 storage. The credit ledger sits in the orchestrator and is the single source of truth - the frontend never calculates a balance.

Product: AI Video Studio - web app for Windows and Mac

Route: Clean-room build. Spike 5-7 days, MVP in 6-8 weeks, sellable v1 a further 4-6 weeks.

All rupee costs in this document are **estimates and ranges for planning**, not vendor quotes. Re-price before public launch from actual spike telemetry.

Currency: INR, exclusive of GST unless stated. GST at 18% applies at checkout for Indian customers.

1 The credit model

Definition. 1 credit = 1 minute of finished, successfully rendered video at 1080p, rounded up to the nearest 0.5 minute. A 6 min 10 sec video that renders successfully costs 6.5 credits. A render that fails on our side costs 0.

What consumes credits

Action	Cost	Notes
Full render, 1080p (MVP)	1 credit / min	Charged on success only. Preview renders are watermarked, low-resolution, and free.
Re-render after an edit	1 credit / min	Full price - it is a full render. Warn in the UI before the user confirms.
4K render (post-MVP)	3 credits / min	Priced when 4K ships. Do not sell 4K credits before the pipeline exists.
AI voice (instead of recorded voice)	+0.5 credit / min	Charged with the render it is used in. Recorded voice + cleanup is included.
Publish pack: Short / Reel cut	0.5 credit each	Each vertical cut is a separate render. Thumbnails, title and description are included free with any paid render.
Research, script, visual plan, timeline edits, captions draft	Free	Fair-use cap: 300 AI generations per account per day, enforced silently in the API, raised on request for Studio tier.

Wallet rules - no exceptions without a code change

- **Reserve, then settle.** On render start, reserve the estimated credits. On success, settle the actual amount and release the difference. On failure, release the full reserve. The user never sees a negative balance.
- **Expiry.** Plan credits expire at the end of each billing cycle - they do not roll over. Top-up credits never expire while the subscription is active, and last 90 days after cancellation. State this at checkout, not only in the terms.
- **Order of spend.** Plan credits are spent first, top-up credits second. This is the order users expect and the order support will explain.
- **Low-balance guard.** At 20% remaining, show an in-app banner. At zero, renders queue but do not start until the user tops up or the plan renews. Never auto-charge a top-up without an explicit opt-in toggle.
- **Ledger.** Every movement is an immutable ledger entry: type (grant, reserve, settle, release, top-up, refund, adjustment), amount, project ID, render job ID, timestamp, balance after. Support can replay any balance from the ledger alone.
- **Adjustments.** Only support can add adjustment credits, with a reason code. Adjustments appear in the user's history as "Goodwill credits" - never silently.

> **Why no rollover on plan credits:** rollover turns a predictable monthly cost into an unbounded liability - a user can bank a year of credits and render them in one week. Top-ups carry the flexibility instead, at a higher per-credit price.

2 Subscription tiers

Prices are monthly, in INR, exclusive of GST. Annual billing is monthly price x 10 (two months free), charged upfront, and launches only after the MVP retention data exists - not on day one.

Tier	Price / mo	Credits	Per credit	Who it is for
Trial	Rs 0, 7 days	10	-	Evaluation. Watermark-free 1080p up to 10 minutes total, 1 project, publish pack included so the full flow can be judged.
Starter	Rs 999	60	Rs 16.65	One short video a week. 3 projects, 1 seat, stock library, recorded + AI voice.
Creator Anchor	Rs 2,499	200	Rs 12.50	The working creator: roughly 8 videos of 6 minutes, or 4 long videos plus Shorts, per month. 15 projects, 1 seat, priority render queue.
Pro	Rs 4,999	500	Rs 10.00	Daily publishers and small agencies. Unlimited projects, 3 seats, priority queue ahead of Creator, API access when it ships.
Studio	Rs 9,999	1,100	Rs 9.09	Teams. 10 seats, shared credit wallet, shared asset library, named support contact.

Top-ups (any paid tier)

Pack	Price	Per credit	Rule
50 credits	Rs 899	Rs 17.98	Deliberately priced above every plan's per-credit rate, so upgrading always beats repeated top-ups. Available only with an active subscription - no top-up-only accounts.
150 credits	Rs 2,399	Rs 15.99	
400 credits	Rs 5,599	Rs 14.00	

Tier rules

- **Upgrade:** immediate. Charge the prorated difference for the rest of the cycle, grant the full difference in credits at once. Simpler than prorating credits, and users perceive it as generous.
- **Downgrade:** takes effect at renewal. Credits already granted are not clawed back.
- **Seats:** a seat is a login, not a device. Studio wallet is shared; per-seat spend is visible to the account owner.
- **Free tier:** there is none beyond the trial. A permanent free tier with real renders is a cost centre with no conversion evidence behind it. Revisit only with data.
- **Education / volume pricing:** not at launch. One-off discounts need founder approval and an expiry date in the billing system.

Positioning check: Creator at Rs 2,499 sits well below the one-time-plus-monthly-AI-tools cost of assembling the same flow manually, and the comparison on the pricing page must make that point with our own stack only - no competitor screenshots, no competitor copy.

3 Unit economics - worked example

All figures are **planning estimates**, not vendor quotes. The spike (days 1-7) must replace every range with a measured number before pricing is announced.

Variable cost of one finished 6-minute video, 1080p, standard voice

Cost line	Estimate	Basis
LLM calls: research, script, visual plan, title / description	Rs 5 - 8	4-6 calls, cost-tier model for drafts, cached research on repeat topics.
Transcription + voice cleanup (faster-whisper, self-hosted)	Rs 1 - 2	Worker minutes on our own pool; no per-call API fee.
Standard AI voice (self-hosted TTS)	Rs 2 - 3	Worker allocation. Premium voice, when chosen, is charged +0.5 credit / min on top.
Render compute (Remotion + ffmpeg)	Rs 8 - 14	Worker-pool allocation incl. 8% failure allowance; templated graphics, near-realtime.
Stock assets (Pexels / Pixabay)	Rs 0 - 1	Licence-free sources; cost is download, transcode and cache only.
Storage + delivery (R2 / S3, 90-day retention)	Rs 2 - 3	Project assets, proxies, final MP4 and publish pack per video.
Total variable cost per 6-min video	**Rs 18 - 31**	**Rs 3.10 - 5.10 per finished minute / per credit.**

> **Where this breaks:** margin depends on the worker pool staying busy and premium voice staying surcharged. Sustained cost above Rs 8 / credit in the spike means re-price before selling anything.

Margin on the anchor tier

Creator, Rs 2,499/mo, 200 credits	Low cost	High cost
Revenue (ex-GST)	Rs 2,499	Rs 2,499
Variable cost if all 200 credits are used (recorded voice mix, 60% AI voice)	- Rs 620	- Rs 1,020
Fixed cost allocation per account (infra, monitoring, support tooling) - estimate	- Rs 180	- Rs 180
Gross margin	**Rs 1,699 (68%)**	**Rs 1,299 (52%)**

Assumption stated plainly: most subscribers do not use all their credits. At a realistic 55% average utilisation, effective margin rises to roughly 75-82%. Pricing is set to survive 100% utilisation anyway - breakage is a bonus, never the business model, and marketing must never sell credits we expect users not to use.

Sensitivity rules

- If render worker cost rises 30% (cloud price change), Pro and Studio absorb it; Starter does not. Protect the anchor tier last.
- If a cheaper render path is proven in the spike (GPU batching, lower preview cost), bank the margin. Do not cut prices pre-launch.
- Re-run this table monthly for the first 6 months, from ledger + worker telemetry, and publish the updated version internally.

4 Billing flows

1 Subscribe

User picks a tier, sees price ex-GST, GST amount and total before paying - no surprise at the gateway. Razorpay checkout (UPI first for India). On payment success webhook: create subscription record, set cycle dates, grant plan credits via ledger entry, send GST invoice by email within 1 hour. On checkout abandonment: no subscription, no credits, one reminder email at 24 hours, then stop.

2 Renew

Auto-renew via mandate / saved instrument. Notify 3 days before renewal with amount and credit grant. On success: new cycle, fresh plan credits, invoice. On failure: enter dunning (below) - credits for the new cycle are not granted until payment succeeds.

3 Dunning - failed renewal

Day	Action
Day 0	Payment fails. Email + in-app banner: payment failed, update method. Account stays fully usable.
Day 1, 3	Automatic retries by the gateway. No user action needed.
Day 4	Second email. New renders pause; existing projects, exports already rendered, and editing stay available. Nothing is deleted.
Day 7	Final retry. If it fails, subscription moves to *past due - cancelled at cycle end + 30 days*. Top-up credits remain valid for their 90-day window.
Day 37	Account becomes free-read-only. Projects retained a further 60 days, then deleted with a 7-day warning email.

4 Cancel

Two clicks from Settings, no retention dark patterns, one optional exit question. Access continues to cycle end. Credits follow the expiry rules in Section 1. Confirmation email states the exact last-access date and the project-deletion date. Win-back is one email at day 30, nothing more.

5 Top-up and refund-of-payment failures

Top-ups are one-time charges, granted within 60 seconds of the success webhook. If money is debited but the webhook never arrives, a daily reconciliation job matches gateway settlements to ledger entries and auto-grants or auto-refunds within 24 hours - the user should never have to report this.

Implementation rules for engineering

- Webhooks are the only path that grants credits. The browser success screen never grants anything - it polls subscription status.
- Every webhook handler is idempotent on the gateway event ID. Duplicate webhooks are expected behaviour, not an error.
- All amounts stored in paise as integers. No floats anywhere in billing code.
- Invoices: sequential GST invoice numbers, our GSTIN, customer GSTIN if supplied, SAC code for software services, PDF emailed and stored against the subscription.
- Test mode end-to-end in staging with the gateway's test instruments before any live key is used, including a forced-failure renewal.

5 Refund policy and consumer terms

Written to be pasted into the public refund page with only the company name and support email filled in. Short version, shown at checkout: *"Renders that succeed are not refundable - you received the file. Anything unused, failed or double-charged is."*

Situation	Refund?	Rule
Render fails on our side	Credits back	Automatic, no request needed. Credits were only reserved, so nothing was spent.
Render succeeds but output is materially broken (corrupt file, wrong audio, missing captions)	Credits back	User reports within 7 days, support verifies against the job log, credits re-granted. Cash refund instead if the user prefers and has not re-rendered.
User dislikes the creative result	No	Previews are free and watermarked precisely so the paid render holds no creative surprises. Offer goodwill credits at support discretion (Section 8), not a refund.
Subscription cancelled mid-cycle	No, pro-rata none	Access runs to cycle end, which is the value paid for. Stated before purchase.
Duplicate charge / charged after cancellation confirmed	Full, automatic	Refund to source within 5-7 business days (gateway timelines), plus an apology email with the invoice correction.
Top-up credits, unused	Yes, within 14 days	Full refund if zero credits from that pack were spent. Partially spent packs are not refundable.
Annual plan (when it launches)	Yes, first 30 days	Refund minus the value of credits actually used, valued at the monthly tier rate. After 30 days, no refund, access to term end.
Account terminated for abuse / rights violations	No	Unused top-ups older than 14 days are forfeited. State this in the terms, enforce it rarely, document every case.

Terms that must sit beside the policy

- **Content rights:** the user owns their rendered output. We claim no licence beyond what is needed to store, render and deliver it. We may not use a user's video in marketing without written permission.
- **Asset rights are the user's responsibility** for anything they upload or import, including opt-in YouTube imports. Stock served from our library is covered for use inside rendered videos under the source licence terms as summarised in the licensing document.
- **Price changes:** 30 days notice by email, applied from the next renewal after notice. Users who dislike a rise can cancel in two clicks - say so in the notice itself.
- **Tax:** prices are ex-GST for India; GST is shown separately at checkout and on every invoice. International pricing, when Stripe launches, is in USD and tax-exclusive, with local taxes handled by the gateway's tax tooling.
- **Support contact and grievance:** one support email on every invoice, receipt and policy page, with the response targets in Section 8.

> **Chargeback rule:** on a chargeback, pause new renders, email the user once with the invoice and ledger evidence, and contest with that evidence. Do not delete the account or the projects during a dispute.

6 Go-to-market - who goes first

The choice, and the call

Option	For	Against
A. Us first (chosen)	Pixalified already publishes reels and demos daily. Real topics, real deadlines, zero recruitment cost. Every failure is found by us, not a paying stranger. The videos produced are themselves marketing for the product.	We are a forgiving user. Our tolerance hides onboarding friction an outsider would bounce off.
B. External creator first	Honest signal on willingness to pay, from day one.	First impressions spent on an unproven render queue. One public failure story costs more than 2 weeks of delay.

Sequence: Option A for 2 weeks, then a closed beta that corrects for A's blind spot - 10 invited external creators, observed on calls, not just analytics.

Phase plan

Phase	Audience	Exit criteria - all required
Dogfood Weeks 1-2 of MVP	Pixalified only. Minimum 12 real videos published through the full flow.	Render success rate at or above 92%; median topic-to-publish under 90 minutes; at least 3 videos published with no engineering help; cost per video measured and inside the Section 3 range.
Closed beta Weeks 3-6	10 invited creators: mix of faceless-channel operators, educators, and small-business marketers. Free Pro tier during beta, in exchange for two feedback calls.	At least 6 of 10 publish 3+ videos unprompted; at least 4 say they will pay the Creator price on the call, unprompted by a discount; no unresolved billing or rights complaint.
Waitlist open Weeks 7-8	Landing page + the dogfood videos as proof, posted on our own channels first.	Waitlist conversion and beta retention reviewed before a public date is announced. No date is promised publicly before this review.
Public launch	Self-serve signup, trial live, Razorpay live.	Launch checklist in Section 7 fully signed off.

Channels, in priority order

1. **Our own content:** every dogfood video carries a plain end-card and description line stating it was made with AI Video Studio and what it cost in credits and time. Factual, not hype - the workflow is the pitch.
2. **Beta creators' audiences:** each beta creator gets a referral code worth 50 bonus credits to their audience and 50 to them per paying signup. Tracked in the ledger as referral grants.
3. **Direct outreach** to faceless-channel and education creators already in the Pixalified network, with a personalised 20-second sample made from their own recent topic - made in the product, of course.
4. **Paid ads:** not before public launch + 30 days of retention data. Spending to acquire users for an unmeasured funnel is waste.

No testimonials, quotes or creator logos are used in marketing until a named creator gives written permission after actually publishing with the product. Beta participation alone is not permission.

7 Launch checklist

Every box must be checked by a named person, with the date, before public signup opens. A box that cannot be checked moves the launch date - it does not get waived.

Payments and billing

- ☐ Live Razorpay account verified, settlement account confirmed with a Rs 1 test transaction
- ☐ Subscribe, renew, failed-renewal dunning, cancel, upgrade and top-up all run end-to-end on live keys with small amounts, then refunded
- ☐ GST invoice generates with correct numbering, GSTIN and totals, and emails successfully
- ☐ Daily reconciliation job runs and alerts on any settlement without a matching ledger entry
- ☐ Refund policy, terms, pricing and privacy pages live and linked from checkout and the footer

Product and infrastructure

- ☐ Render queue survives a worker kill mid-render: job retries or releases credits, never both charges and fails
- ☐ Credit reserve / settle / release verified under 20 concurrent renders
- ☐ Backups of the database and project storage restored once into staging - a backup never restored is not a backup
- ☐ Status page live; render-queue depth and failure rate alerting to a monitored channel
- ☐ Rate limits and the 300/day AI generation fair-use cap active in production
- ☐ YouTube import confirmed OFF by default, with the opt-in rights confirmation in place

Legal, support and comms

- ☐ Licence review signed off per the licensing document (clean-room build, stock licences, font and music licences)
- ☐ Support inbox staffed for launch week, macros in Section 8 loaded, goodwill-credit authority agreed
- ☐ Launch post, help-centre articles (credits explained, refunds, cancelling) and the changelog page ready
- ☐ Rollback plan written: how signup closes and the queue drains if render failure exceeds 20% in the first 48 hours

8 Support runbook

Situation	First response and fix
Targets	First reply within 4 business hours; billing issues within 2. Resolution target: billing same day, render issues within 24 hours. One inbox, no ticket black holes - every message gets a human reply.
Charged but no credits	Check ledger vs gateway settlement by payment ID. In almost every case reconciliation grants within 24h automatically - tell the user the exact time it will land, then verify it did. If not, grant manually with reason code *payment-mismatch* and log it for engineering.
Render stuck / very slow	Check job ID in the queue dashboard. If the job is dead, release the reserve (user was never charged) and offer a priority re-queue. If the queue is globally backed up, say so, give an honest time range, and post to the status page.
Output quality complaint	Ask for the project link, inspect the render log and preview. Broken output (Section 5) = credits back, no argument. Creative dislike = walk them to the free preview flow, offer up to 20 goodwill credits once per account.
Refund request	Apply Section 5 as written. Do not negotiate outside it - consistency is what makes the policy defensible. Process in the gateway dashboard the same day, email the refund reference.
Account / rights complaint about an import	Acknowledge within 2 hours, preserve the project and logs, escalate to the founder the same day. Do not delete evidence; do suspend further distribution from that project pending review.
Goodwill authority	Support may grant up to 50 credits per case without approval. Above that, founder approval. Every grant carries a reason code and appears in the user's history.

9 Milestones - 30 / 60 / 90 days

Day 0 is the first day of the spike. Dates move with the findings; the order does not.

Window	Milestones	Proof it happened
Days 1-7 Spike	Render pipeline proven end-to-end on one real topic; measured cost per rendered minute; credit ledger schema and reserve/settle flow built in staging.	One published-quality video; a cost sheet replacing Section 3 estimates with measured numbers; go / no-go note on Starter tier pricing.
By day 30	MVP feature-complete for internal use: all 10 stages working, Razorpay test-mode billing, ledger live, dogfood under way (target: 6+ Pixalified videos published).	Dogfood log with per-video time, credits and cost; first internal invoice generated in test mode.
By day 60	MVP launch-ready: live payments, dunning and refunds tested, dogfood exit criteria met, 10 beta creators onboarded and publishing.	Beta scorecard against Section 6 criteria; support macros in use; measured gross margin per tier from real usage.
By day 90	Sellable v1: public launch if the Section 7 checklist is signed off, waitlist converting, referral codes live, monthly unit-economics review running. 4K and annual billing evaluated - not promised.	First 50 paying subscribers or a written review of why not, with the funnel numbers; churn and credit-utilisation report for month one.

Kill / pause criteria - agreed in advance

- Measured all-in cost stays above Rs 10 / credit after spike optimisation: pause public launch, fix the render path or re-price before selling anything.
- Beta: fewer than 3 of 10 creators publish a second video unprompted: the product, not the marketing, is the problem. Stop acquisition spend, fix onboarding and render time.
- Render success rate below 88% in any launch week: close signup, drain the queue, fix, reopen. Reputation is worth more than a week of sales.

10 Open decisions

Each item below is one decision, with its options and the date it must be closed by. Nothing else in this document is undecided.

#	Decision	Options	Close by
D1	International billing at launch?	(a) India only on Razorpay, Stripe in v1+ - recommended. (b) Both rails at launch, adding roughly a week of billing QA.	End of spike
D2	Starter tier fate if measured cost is high	(a) Raise to Rs 1,299. (b) Cut to 40 credits at Rs 999. (c) Drop Starter, start at Creator.	Day 7, from spike telemetry
D3	Annual billing timing	(a) After 60 days of retention data - recommended. (b) At public launch.	Day 60 review
D4	Beta creators: paid thank-you or free tier only?	(a) Free Pro during beta + 3 months free Creator after launch. (b) Free tier only. No cash payments to beta users in either option.	Before beta invites

Clean-room note: all pricing, policy wording and copy here are original.